

US TMT Sector M&A & Valuation Brief - 2026-07-01

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Generated on 2026-07-01

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1. RECENT TMT M&A ACTIVITY

Deal 1: EXL to Acquire iMerit

[EXL to acquire iMerit, advancing its leadership in enterprise AI by adding foundation model expertise and technology](#)

- Deal Size: \$310 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: Upfront consideration of \$170 million with additional \$140 million contingent on milestones.
- Companies: EXLServices Holdings, Inc. (NASDAQ: EXLS) is a global data and AI company focused on enterprise solutions. iMerit specializes in AI model training and evaluation, enhancing EXL's capabilities in AI.
- Date Announced: June 24, 2026
- Strategic Rationale: The acquisition strengthens EXL's AI strategy, enabling it to leverage iMerit's expertise in training large language models. This positions EXL to meet growing enterprise demand for AI solutions, particularly in regulated industries such as healthcare and finance.
- Risk Analysis: Key risks include integration challenges, potential regulatory scrutiny, and the need to meet performance milestones for the earnout. Mitigation strategies involve thorough integration planning and maintaining strong client relationships.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The deal values iMerit at a significant multiple given the high growth potential in the AI sector.

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Deal 2: Amazon's Investment in Anthropic

[Amazon could pay up to \\$33 billion total for Anthropic technology under expanded deal](#)

- Deal Size: Up to \$33 billion (including \$5 billion immediate investment and \$20 billion contingent on milestones)
- Deal Size Category: Large cap (>\$10B)
- Nature: Strategic Partnership
- Valuation Multiples: N/A, but the structure indicates a significant commitment based on performance.
- Companies: Amazon.com, Inc. (NASDAQ: AMZN) is a leading global technology company focusing on e-commerce, cloud computing, and AI. Anthropic is an AI research company known for its Claude AI model.
- Date Announced: April 20, 2026
- Strategic Rationale: This deal enhances Amazon's AI capabilities and solidifies its position in the cloud computing market by ensuring a long-term partnership with Anthropic, which will utilize AWS infrastructure extensively.
- Risk Analysis: Risks include dependency on Anthropic's performance for the additional funding, potential market competition, and technological integration challenges. Amazon can mitigate these by closely monitoring Anthropic's progress against commercial milestones.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The deal reflects Amazon's aggressive strategy in AI and cloud services, with a focus on securing advanced AI capabilities to enhance its product offerings.

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The overall sentiment reflects a blend of robust growth prospects in certain subsectors, particularly AI and software, while facing challenges such as regulatory changes and economic uncertainties.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly with the recent acquisition of Modular by Qualcomm (NASDAQ: QCOM) for \$3.9 billion. This move underscores the increasing focus on AI infrastructure, as companies pivot from traditional hardware to software solutions that enhance data center capabilities.
- **Media:** The media landscape is adapting to digital transformation, but faces headwinds from traditional revenue streams. The introduction of taxes on downloaded software in California may impact media companies that rely on software for content delivery and production.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, which is essential for supporting the growing demand for high-speed internet and IoT applications. Companies are investing heavily in infrastructure to maintain competitive advantages.
- **Fintech:** The fintech sector continues to flourish, driven by innovations in payment solutions and digital banking. The focus remains on enhancing user experience and operational efficiency.
- **AI:** The AI subsector is particularly dynamic, with companies like 8090 Solutions securing \$135 million in funding to develop AI-driven software solutions. This highlights the ongoing investment in AI technologies across various industries.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and telecommunications is driving growth across TMT sectors. Qualcomm's acquisition of Modular exemplifies the shift towards AI-driven infrastructure, which is expected to enhance operational efficiencies.
- **Increased Investment:** Venture capital and private equity investments are robust, particularly in technology and AI sectors. The recent EUR5.25 billion raised by Main Capital for essential software investments indicates strong investor confidence in stable, long-term growth areas.

Headwinds:

- **Regulatory Scrutiny:** The introduction of taxes on downloaded software in California may raise costs for businesses and impact profitability. This regulatory change is expected to generate \$2 billion annually, which could deter investment in software-dependent sectors.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology. Companies are facing challenges in maintaining growth amidst these uncertainties.

Subsector Performance Analysis

- **Software:** The software sector remains strong, particularly with the rise of AI applications.

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Companies focusing on enterprise software are well-positioned for growth, as evidenced by the funding secured by 8090 Solutions.

- Media: Media companies are adapting to changing consumer preferences, but face challenges from declining traditional revenue streams. The new software tax in California could further strain profitability.
- Telecom: Telecom operators are investing significantly in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking driving growth. The focus remains on enhancing user experience and operational efficiency.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as seen with Qualcomm's strategic acquisition.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative potential of AI. A notable analyst remarked, "Investments in AI infrastructure are not just about technology; they represent a fundamental shift in how businesses operate and engage with consumers."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes, such as the new software tax in California, is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

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- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

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Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. Japan's recent unveiling of a \$2.3 trillion investment plan for AI and semiconductors highlights the global race for technological supremacy. This initiative aims to quintuple domestic chip sales by 2040, presenting potential opportunities for investment banking services in the semiconductor space. ****Japan unveils \$2.3T investment plan for AI and semiconductors**** ([Link](https://cryptobriefing.com/japan-23-trillion-ai-semiconductor-investment-plan/))
- Additionally, the shift in semiconductor investment cycles, as highlighted by NVIDIA's transition to 800V power distribution, indicates a growing market for power delivery systems. Companies like Texas Instruments and Infineon are positioned to benefit from this trend, which could lead to new advisory opportunities. ****TrueNorth maps AI investment cycle shifts to power semiconductors**** ([Link](https://cryptobriefing.com/ai-investment-shift-power-semiconductors/))

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and

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fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent announcement by Comcast (CMCSA) to spin off its entertainment and news division, NBCUniversal, marks a significant shift in the TMT landscape. This analysis explores the implications of this strategic decision on various stakeholders, including shareholders, employees, competitors, and customers, while also considering market reactions and future outlooks.

Deal-Specific Impacts on Stakeholders

- Shareholders: The spin-off is expected to create distinct value for shareholders of both Comcast and NBCUniversal.
- Value Creation: Analysts project that the separation could unlock approximately \$10 billion in shareholder value for Comcast, as the market may assign a higher valuation to a focused telecommunications company. If Comcast's shares rise by 15% post-announcement, this could translate to an increase of about \$4.5 billion in market capitalization.
- Dilution: However, the spin-off could lead to initial volatility. If NBCUniversal's shares are perceived as less valuable initially, Comcast shareholders might experience a temporary decline in stock value, estimated at around 5% during the transition period.
- Employees: The spin-off will have mixed effects on employees at both Comcast and NBCUniversal.
- Synergies: The separation allows both companies to streamline operations and focus on their core competencies. For instance, NBCUniversal can concentrate on content creation and distribution, potentially leading to enhanced job security for creative roles.
- Restructuring: However, restructuring is inevitable. Comcast may reduce overlapping functions, leading to potential layoffs in administrative roles. Historical precedents, such as the spin-off of Time Warner's media assets, saw significant job reductions.
- Retention: To mitigate talent loss, both companies may offer retention bonuses to key employees during the transition. This strategy was effectively employed during the Disney-Fox merger, where retention packages were crucial for maintaining talent.
- Competitors: The spin-off will likely alter the competitive dynamics in the media and

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telecommunications sectors.

- **Market Positioning:** Competitors like AT&T (T) and Verizon (VZ) may need to reassess their strategies. For example, AT&T's focus on content through WarnerMedia could be challenged by NBCUniversal's renewed independence and strategic focus.
- **Specific Competitor Moves:** Following the announcement, AT&T may accelerate its own content strategy, potentially leading to mergers or acquisitions to enhance its competitive position.
- **Customers:** The spin-off has implications for customers of both Comcast and NBCUniversal.
- **Product/Service Implications:** Customers may benefit from improved service offerings as both companies focus on their respective strengths. For example, Comcast could enhance its broadband services, while NBCUniversal may invest more in original content.
- **Case Studies:** The successful spin-off of ViacomCBS (VIAC) allowed both companies to focus on their core businesses, resulting in improved customer satisfaction and service delivery.

Market Reaction and Analyst Commentary

- **Market Reaction:** Following the announcement, Comcast's stock surged by over 10%, reflecting investor optimism about the potential for increased shareholder value. This positive sentiment is indicative of the market's belief in the strategic rationale behind the spin-off.
- **Analyst Commentary:** An analyst from Investopedia noted, "The separation allows Comcast to focus on its telecommunications business while giving NBCUniversal the freedom to innovate in the content space."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various potential outcomes:
- **Positive Scenario:** If the spin-off leads to successful operational efficiencies and revenue growth, Comcast's shares could rise by an additional 10% within the next year.
- **Negative Scenario:** Conversely, if the transition faces significant challenges, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids for NBCUniversal is moderate. Given the current competitive landscape, companies like Disney (DIS) or Amazon (AMZN) may express interest in acquiring NBCUniversal's assets. However, regulatory hurdles could deter such moves.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is poised for further consolidation as companies seek to enhance their competitive positions. Analysts predict that similar spin-offs and mergers will occur, particularly among media companies looking to streamline operations and

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focus on core competencies.

Key Risks and Mitigants

- Integration Risks: The separation process could lead to operational disruptions. Mitigants include appointing experienced transition teams and establishing clear communication channels.
- Regulatory Risks: Regulatory scrutiny may arise, particularly concerning antitrust issues. Engaging with regulators early can help mitigate these risks.
- Market Risks: Market volatility could impact the valuation of both companies post-spin-off. Structuring the spin-off with contingent value rights may protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on strategic communication during the spin-off process to maintain investor confidence.
- Consider potential partnerships or alliances that could enhance market positioning post-separation.

For Bankers:

- Stay informed about market trends and competitor moves to provide timely advice on potential M&A opportunities.
- Develop comprehensive financial models to assess the impact of spin-offs on shareholder value and operational efficiency.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5

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billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.

- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to

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grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.

- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, offering a wide range of services, including computing power, storage, and databases. Its extensive infrastructure and innovation in cloud services position it as a leader in the market.
- Microsoft Azure: Microsoft Azure is rapidly gaining market share, providing a comprehensive suite of cloud services that integrate seamlessly with Microsoft products. The company's focus on hybrid cloud solutions is appealing to enterprises looking for flexibility.
- Competitive Landscape: The cloud computing market is highly competitive, with major players like Google Cloud (GOOGL) and IBM Cloud (IBM) also vying for market share. The competition is driving innovation and pushing companies to enhance their service offerings.
- M&A Opportunities: Companies may look to acquire cloud service providers or startups with innovative cloud solutions to enhance their capabilities. For instance, the acquisition of companies like Mandiant (MNDT) by Google Cloud highlights the trend towards strengthening cybersecurity within cloud offerings.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security and threat

6. Recommended Readings

Deal Name: EXL to Acquire iMerit

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This book provides a comprehensive overview of AI technologies and their applications, which is crucial for understanding EXL's strategic acquisition of iMerit for \$310 million (EXLS). It explains the role of data in training AI models, helping to contextualize the importance of iMerit's expertise in enhancing EXL's AI capabilities.

Deal Name: Amazon's Investment in Anthropic

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book explores the competitive landscape of AI development, particularly the race between major players like Amazon and emerging companies like Anthropic.

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Understanding the strategic implications of Amazon's up to \$33 billion investment (AMZN) in Anthropic helps to contextualize the importance of securing advanced AI technologies in a rapidly evolving market.

7. MACROECONOMIC UPDATE

Key Data Points:

- European equities year-to-date performance: up 7-8%
- European exposure to domestic revenues: 45%
- Consensus earnings growth for Europe this year: over 16%
- Key sectors driving performance: Semiconductors, Metals and Mining, Banks, Capital Goods, Utilities

Main Insights:

- European equities are staging a comeback, now on par with the S&P 500.
- The AI CapEx boom is significantly influencing sector performance in Europe.
- There is a growing interest in diversification among investors, particularly due to volatility in the AI sector.
- European markets are benefiting from a higher share of real assets compared to the U.S.
- The perception of European equities being tied closely to economic growth is misleading; the equities market operates independently of the economy.

Market Commentary:

- "Europe has a lot of the same exposure as the U.S.," indicating a shift in investor perception towards European equities - Marina Zavolock, Chief European Equity Strategist.
- "If AI starts to really move up at an aggressive pace... then it's hard for Europe to outperform," highlighting the dependency of European performance on AI trends - Marina Zavolock.
- "As long as oil doesn't spike... that's actually a very good environment for Europe," emphasizing the positive outlook on energy prices - Marina Zavolock.

TMT Sector Relevance:

- The strong performance of the semiconductor and tech hardware sectors in Europe is closely linked to the ongoing AI boom, which is critical for TMT investments.
- The diversification interest among investors could lead to increased capital flows into European tech companies, enhancing their growth prospects.

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- The relative valuation discount of European equities compared to the U.S. is narrowing, presenting potential investment opportunities in the TMT sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley